

Claim or No Claim: A Professional Liability Showdown



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Today's Presentation

- Professional liability coverage insures “claim(s)” made and reported during the policy period
- Sometimes, incidents happen during the policy period but don't result in a “claim” until much later
- How do you know when to notify the insurer???



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Claim vs. Circumstance

Claim

- Usually a defined term
- A demand for money or services
- Notice is mandatory

Circumstance

- Sometimes a defined term
- An event for which a future “Claim” might be made
- Notice is optional*



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Sample Policy Language: “Claim”

C. **CLAIM** means a demand received by the INSURED for money or services and that alleges one or more of the following:

1. A **WRONGFUL ACT** arising from the performance of **PROFESSIONAL SERVICES**;

....

A demand can take the form of, but is not limited to, lawsuits, petitions, arbitration demands, mediation requests or other alternative dispute resolution requests served on the INSURED....

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Sample Policy Language: “Claim”

Professional Liability Claim means any written demand received by the **Insured** seeking **Damages** or **Professional Services** and alleging liability or responsibility on the part of the **Insured** or on the part of any entity for whom the **Insured** is legally responsible.

Zurich CPPI STF-CPP-100-D CW (10/20)



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Sample Policy Language: "Circumstance"

B. CIRCUMSTANCE means an event or occurrence from which the INSURED reasonably expects that a CLAIM(S) could be made.

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Sample Policy Language: "Circumstance"

E. Circumstance means:

1. an event reported to us during the **Policy Period** in compliance with Subsection **VI.E. Notice of Circumstance**, which the **Insured** could reasonably expect to result in a **Claim**; and
2. all proceedings reported to us during the **Policy Period** in compliance with Subsection **II.A. Pre-Claims Assistance**.

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Sample Policy Language: "Circumstance"

Notice of Circumstance

...if during the **Policy Period** the **Insured** ...provides written notice to us of such **Circumstance** containing particulars sufficient to identify the **Insured** and reasonably obtainable information therein, including all of the following information:

1. A detailed description of the **Circumstance**, including the **Professional Services** ...forming the basis for such **Circumstance**;
2. The nature of any actual or possible **Damages**, if known; and
3. How and when the **Insured** first became aware of such **Circumstance**;

then any **Claim** arising out of such **Circumstance** that may be made against the **Insured** will be deemed to have been made, for reporting purposes only, on the date on which the notice of **Circumstance** was given to us.

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Why Does It Matter?

- Trigger of Coverage
- Notice Provision
- Duty to Defend
- Prior Knowledge Exclusion
- Pre-Claim Assistance



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It's Show Time!

Claim or No Claim?



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Claim or No Claim?

An Engineering, Procurement and Construction Management (EPCM) contractor manages a multiyear lump-sum project. Throughout the project, the contractor agrees to owner requests to amend or expand work items. At the end of the project, the owner refuses to pay the additional costs for those amendments and expansions.



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Answer: No Claim

A request is not a demand, so no claim based on the facts presented.

Requests for corrections could constitute a circumstance, dependent upon whether a covered professional service drove the requested correction.

Requests for additional work (i.e., expanded scope that is not corrective in nature) do not constitute a circumstance.



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Claim or No Claim?

The EPCM contractor sues for payment for the additional work. The owner responds with a refusal to pay because the work contained design errors causing the owner economic loss.



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Answer: Possibly a Claim

Treat that like a claim.



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Claim or No Claim?

The EPCM contractor discovers a design error after work has commenced. The contractor unilaterally elects to redesign and correct the work.



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Answer: No Claim

That is a circumstance. That is not a professional liability claim. That could be a rectification claim.

Hint: Don't wait three years to report it.



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Claim or No Claim?

The insured architect receives a letter stating that the owner is concerned about the architect's apparent inability to complete projects in a timely, professional and satisfactory matter. The architect does not consider this a claim or a potential claim, but rather a ploy by the owner to avoid resolving an outstanding fee issue.



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Answer: No Claim

The letter made no demand for money or services, nor did it allude to any specific present or future damages of which the architect would have knowledge. Therefore, the letter was not a claim.

Civic Assocs., Inc. v. Sec. Ins. Co. of Hartford, 749 F. Supp. 1076 (D. Kan. 1990).



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Claim or No Claim?

In the same case, a few months later, the architect met with the owner and learned that the owner intended to assert a claim against the architect for negligent performance of professional services.



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Answer: Possibly a Claim

The court held that “at the earliest”, this was the date that a claim was asserted against the architect because on this date, the owner informed the architect of its intent to sue. However, the architect’s policy had expired by this time anyway, so the opinion only briefly touches on this point.

Civic Assocs., Inc. v. Sec. Ins. Co. of Hartford, 749 F. Supp. 1076 (D. Kan. 1990).



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Claim or No Claim?

The insured is subpoenaed to provide documents relative to past distribution activities by a supplier of fire-suppression chemicals.



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Answer: No Claim

There has been no demand for money or services. This is a circumstance that may result in a future claim.



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Claim or No Claim?

The insured architect receives a notice from the project owner stating that the project has been experiencing problems and delays in its early stages.



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Answer: No Claim

There is no claim; however, the owner's letter demonstrated that the architect had knowledge of a situation that could reasonably be expected to result in a future claim.

Univ. of Pittsburgh v. Lexington Ins. Co., No. 13-CV-335 (KBF), 2016 WL 7174667 (S.D.N.Y. Dec. 8, 2016).



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Practical Implications

- Knowing when to report a circumstance or claim
- Assessing and avoiding notice issues
- Reporting of related circumstances or claims



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Thank You



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